

2 km radius. Blinkit is also contribution-positive, unlike Zepto and Instamart. It has a profit after fixed costs.

WHY QUICK COMMERCE?

Quick commerce addresses urban India's growing demand for convenience and speed. But does this model have the legs to walk beyond the metros? Do the Tier-II and Tier-III cities have the required infrastructure and population density?

The term "grocery" covers everything a household consumes: fruit juices to toilet cleaners, from fresh produce to packaged goods. It is the crown jewel of India's retail market, projected to grow from \$570.3 billion in 2023 to \$818.3 billion by 2028.

But grocery is margin-driven, and turning a profit is not easy. Quick commerce has an edge in grocery. Satish Meena, advisor at Datum Intell and co-founder of Sutradhar, says, "Quick commerce players have a distinct edge. They can negotiate better margins directly with manufacturers by eliminating the distributor channel and accelerating inventory movement."

FMCG companies love the quick commerce model as it helps them sell premium products that demand high margins in modern retail or large format stores where consumers browse shelves to pick up products.

78 | "Consumption [of grocery or food and beverage] in the middle class has been a major concern for FMCG firms. Premium-priced products often struggle to find a foothold in modern retail due to high margins," Meena says. "With quick commerce, these companies can save 10–15% on margins."

PROFITS AFTER YEARS

But competition and margin pressures are brutal. Only Blinkit is contribution-positive: its revenue started covering variable costs like delivery and sourcing expenses. But it did so only in the second quarter of 2024-25. Overall profitability, or covering fixed costs such as infrastructure and marketing, is a far cry.

Swiggy Instamart reported a gross revenue of ₹1,100 crore for FY24 and a 124 basis point quarter-over-quarter increase in its contribution margin during Q2FY25.

Diversifying beyond grocery has emerged as a potential strategy to get out of the red. But it is all trial and error. Zepto burnt nearly ₹300 crore in September and October 2024. It reported revenues of ₹4,455 crore in FY24, significantly ahead of competitors. Zepto's absolute losses came down year-on-year with profit after tax (PAT) as a percentage of revenue improving from -63% in FY23 to -28% in FY24.

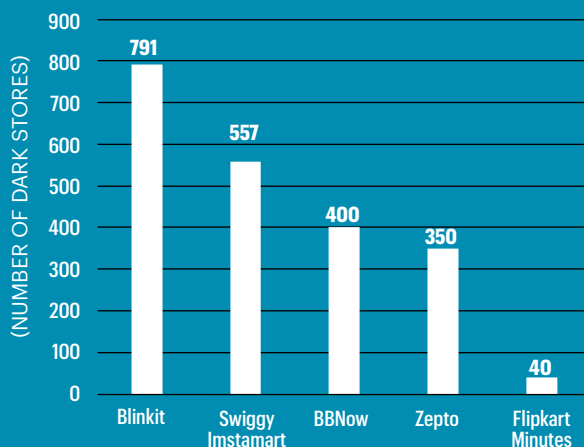
Sandeep Murthy, Partner at Lightbox, an early investor in Dunzo, believes exploring new categories is essential, but the game-changer could be private labels.



SPEED MERCHANTS Quick commerce addresses urban India's growing demand for convenience and speed

THE 10-MINUTE RACE

- The race to build dark stores is heating up as these are essential for quick delivery
- Blinkit is the clear leader on this front, much ahead of closest rival Swiggy Instamart



NOTE FLIPKART MINUTES STARTED ITS OPERATIONS IN AUGUST 2024, DATA TILL NOVEMBER 2024

SOURCE DATUM ANALYSIS STATE OF QUICK COMMERCE MARKET, 2024 REPORT